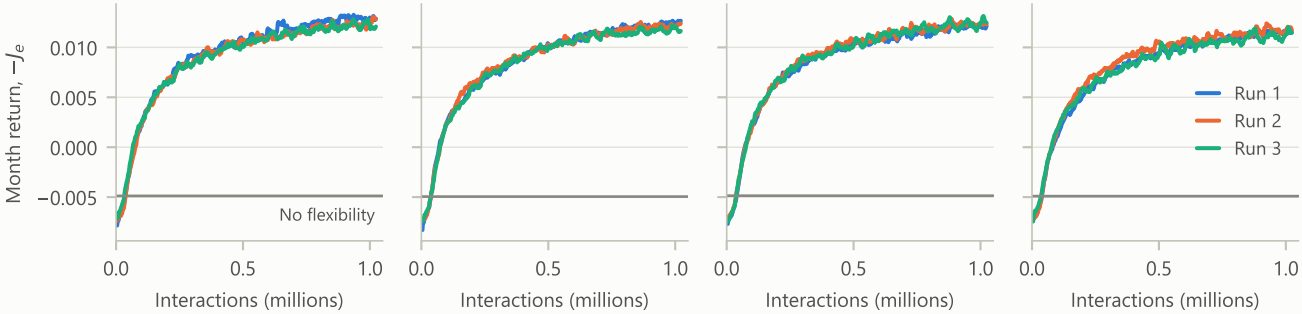

Fold 1
held out: Jan, May, Sep
Fold 2
held out: Feb, Jun, Oct
Fold 3
held out: Mar, Jul, Nov
Fold 4
held out: Apr, Aug, Dec
Month return, $-J_e$
0.010
0.005
0.000
−0.005
No flexibility
Run 1
Run 2
Run 3
0.0
0.5
1.0
Interactions (millions)